

Pearson Edexcel

Level 3 GCE

Practice Paper 1C (Hard) - Mark Scheme

Time: 1 hour 30 minutes | Paper Reference: **8EB0/01**

Economics B

Advanced Subsidiary

Paper 1: Markets, consumers and firms

Mark Scheme

This mark scheme follows the structure and style of official Pearson Edexcel mark schemes. Marks should be applied positively, rewarding candidates for what they have shown they can do. Examiners should use the levels-based descriptors for extended-response questions and the indicative content as a guide to the kind of answers candidates may produce.

General Marking Guidance

- All candidates must receive the same treatment. Examiners must mark the first candidate in exactly the same way as they mark the last.
- Mark schemes should be applied positively. Candidates must be rewarded for what they have shown they can do rather than penalised for omissions.
- Examiners should mark according to the mark scheme not according to their perception of where the grade boundaries may lie.
- There is no ceiling on achievement. All marks on the mark scheme should be used appropriately.
- All the marks on the mark scheme are designed to be awarded. Examiners should always award full marks if deserved, i.e. if the answer matches the mark scheme.
- Where some judgement is required, mark schemes will provide the principles by which marks will be awarded and exemplification may be limited.
- Crossed out work should be marked UNLESS the candidate has replaced it with an alternative response.

QUESTION 1 (Total: 30 marks)

Question 1(a) Marks: 2

AO breakdown: Knowledge / understanding 2

Knowledge / understanding 2 marks for:

- A legal status where the liability of shareholders is restricted (1) to the value of their investment in the business (1)

OR

- Owners are not personally liable for the debts of the business (1) beyond the value of their shareholding (1)

NB any other suitable alternative. Do not award marks for examples alone. (2)

Question 1(b) Marks: 4

AO breakdown: Knowledge / understanding 1, Application 3

Knowledge / understanding 1 mark for:

Gross profit

----- x 100 (1)

Sales revenue

Application:

5 760 000 (1)

----- x 100 = 45.00% (1)

12 800 000 (1)

NB: if no working is shown award marks as below:

- If the answer given is 45.00% award 4 marks
- If the answer given is 45% or 45.0% award 3 marks
- If the answer given is 45 award 2 marks

(4)

Question 1(c) Marks: 4

AO breakdown: Knowledge/understanding 2, Application 1, Analysis 1

Knowledge/understanding:

- 1 mark for correctly showing supply and demand curves (1)
- 1 mark for correctly labelling axes price and quantity (1)

Application: 1 mark for showing a leftward (upward) shift of the supply curve (1) (shortage of skilled labour raises wage costs, reducing supply)

Analysis: 1 mark for showing original and new equilibrium with consequences on the axes - higher price, lower quantity (1)

[Diagram should show: D curve, S1 shifting left to S2, new equilibrium with $P_2 > P_1$ and $Q_2 < Q_1$]

(4)

Question 1(d) Marks: 8

AO breakdown: Knowledge / understanding 2, Application 2, Analysis 2, Evaluation 2

Indicative content:

- Crowdfunding is a source of finance where funds are raised from a large number of small investors, usually through an online platform
- NovaPharm raised £1.2 million from over 800 individual investors
- Crowdfunding requires firms to publicly disclose detailed information - in NovaPharm's case, this included R&D pipeline, patent applications and product launches
- This information was used by a larger competitor, who launched a similar product just six months after NovaPharm, undermining NovaPharm's first-mover advantage
- Managing relationships with hundreds of small investors can be administratively burdensome
- Crowdfunding may not be sufficient to meet the very high capital costs of a pharmaceutical R&D pipeline - £1.2 million is small compared with typical drug development costs
- If a crowdfunding campaign fails to reach its target, the business cannot access any of the pledged funds, and the failure may damage the firm's reputation
- However, crowdfunding allowed NovaPharm to access finance it would have struggled to obtain from a bank, given its early losses
- Crowdfunding investors are often supportive of the firm's wider mission, including ethical motives such as developing affordable generic medicines
- Successful crowdfunding can build a community of brand advocates who help promote the business
- The disadvantages may be significant for a research-intensive firm like NovaPharm, where confidentiality of R&D information is critical, but crowdfunding may still have been the best available option at the time

Levels descriptor

Level	Mark	Descriptor
0	0	A completely inaccurate response.
Level 1	1–2	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted. Limited attempt to address the question.
Level 2	3–5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are developed. Judgements may be attempted.
Level 3	6–8	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen. Arguments are developed, using logical, coherent chains of reasoning. A balanced awareness of competing arguments.

Question 1(e) Marks: 12

AO breakdown: Knowledge / understanding 2, Application 2, Analysis 4, Evaluation 4

Indicative content:

- Horizontal integration is the merging of two firms operating at the same stage of production in the same industry
- NovaPharm has acquired two smaller competitors over the past decade, expanding its production capabilities and product range
- Horizontal integration can deliver economies of scale - lower average costs through bulk purchasing, shared production facilities and shared overheads
- It can reduce competition by removing rivals, potentially giving NovaPharm greater market power and pricing flexibility
- Combined firms can pool R&D resources and intellectual property, accelerating innovation in a capital-intensive industry

- Horizontal integration can give the firm access to new markets, customers, products and regulatory approvals - particularly valuable for international expansion
- Larger firms can attract and retain top talent, addressing the shortage of pharmaceutical scientists in the UK that NovaPharm faces
- Combined firms may benefit from rationalisation - closing duplicate facilities and streamlining operations - to further reduce costs
- However, horizontal integration carries integration risks: cultural clashes, organisational disruption and loss of key staff in the period after the acquisition
- It can attract regulatory scrutiny from competition authorities, who may impose conditions or block the deal entirely
- Acquisitions are expensive - the firm may need to take on additional debt or issue shares, which can affect financial stability
- Diseconomies of scale may emerge if the combined firm becomes too large to manage effectively
- For NovaPharm, horizontal integration appears to have been broadly successful, helping the firm to grow and acquire complementary capabilities
- Whether the advantages outweigh the disadvantages depends on the strategic fit of the acquired firms, the integration process and the regulatory environment

Levels descriptor

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Level 1	1–2	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted. Limited attempt to address the question.
Level 2	3–5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented but with limited attempt to address the question. Comparisons and judgements may be attempted.
Level 3	6–9	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, clear chains of reasoning, with well-developed arguments. An awareness of the significance of competing arguments is present although this may lack balance.
Level 4	10–12	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen, logical, coherent chains of reasoning, showing full understanding of the question. Arguments are developed and evaluated. A full and balanced awareness of the validity and significance of competing arguments.

QUESTION 2 (Total: 30 marks)

Question 2(a) Marks: 2

AO breakdown: Knowledge / understanding 2

Knowledge / understanding 2 marks for:

- A measure of the responsiveness of quantity demanded (1) to a change in consumer income (1)

OR

- $YED = \% \text{ change in quantity demanded (1) divided by \% change in income (1)}$

NB any other suitable alternative. Do not award marks for examples alone. (2)

Question 2(b) Marks: 4

AO breakdown: Knowledge/understanding 1, Application 2, Analysis 1

Knowledge/understanding: 1 mark for e.g. an overdraft is a short-term form of finance to cover temporary cash shortfalls (1)

Application: Up to 2 marks for contextualised answers, e.g.

- The closing balance is negative in February (£400), March (£1,200) and April (£400) (1)
- Net cash flow is negative in January, February and March (1)
- Stock purchases and wages rise sharply in March and April (1)

Analysis: 1 mark for linked development, e.g. an overdraft would allow UrbanRoots to continue paying its short-term liabilities such as wages and rent during a period when cash outflows exceed inflows (1)
(4)

Question 2(c) Marks: 4

AO breakdown: Knowledge / understanding 1, Application 3

Knowledge / understanding 1 mark for:

$\% \text{ change in quantity demanded}$

----- (1)

$\% \text{ change in income}$

Application:

$\% \text{ change in QD} = +9\% \text{ (1)}$

$\% \text{ change in income} = +4\% \text{ (1)}$

$YED = 9 / 4 = +2.25 \text{ (1)}$

NB: if no working is shown award marks as below:

- If the answer given is +2.25 (or 2.25) award 4 marks
- If the answer given is 2.3 or rounded approximations award 3 marks
- Accept supporting commentary that $YED > 1$ implies a luxury good / income elastic

(4)

Question 2(d) Marks: 8

AO breakdown: Knowledge / understanding 2, Application 2, Analysis 2, Evaluation 2

Indicative content:

- A demand curve shows the relationship between price and quantity demanded, ceteris paribus

- Changes in consumer tastes and preferences are a non-price determinant of demand and cause a shift of the demand curve
- If consumer tastes shift away from coffee towards matcha and speciality teas, demand for speciality coffee will fall at every price
- This is shown as a leftward (inward) shift of the demand curve for speciality coffee
- [Possible use of diagram showing leftward shift in demand]
- At the existing price of £3.80, the quantity demanded of speciality coffee will fall
- UrbanRoots Café may experience falling sales revenue from speciality coffee, putting further pressure on its already weak cash flow position
- However, the speed and scale of taste changes are uncertain - social media trends can shift quickly and may not represent a lasting change
- Coffee remains a long-established and popular drink, and many of UrbanRoots' customers may continue to value the firm's quality and ethical sourcing
- Lily could respond by expanding the menu to include matcha and speciality teas, allowing the firm to capture new demand whilst retaining existing customers
- The impact also depends on whether the taste change is permanent or temporary, and whether UrbanRoots is positioned to adapt quickly
- In the long run, UrbanRoots may need to consider broader changes to its product range if coffee consumption continues to decline

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Level 2	3–5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are developed. Judgements may be attempted.
Level 3	6–8	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen. Arguments are developed, using logical, coherent chains of reasoning. A balanced awareness of competing arguments.

Question 2(e) Marks: 12

AO breakdown: Knowledge / understanding 2, Application 2, Analysis 4, Evaluation 4

Indicative content:

- Short-termism is the tendency to focus on short-run results at the expense of long-run performance
- Lily faces several short-term pressures: a weak cash flow position in early 2024 with negative closing balances in February, March and April
- Short-term cash flow constraints may force Lily to delay investment in new equipment, training or product development - decisions that would benefit the business in the long run
- The pressure to react to social media trends (matcha, speciality teas) could lead Lily to over-invest in fashionable products that may not have lasting demand
- Lily may feel pressure to cut costs (e.g. lower-quality ingredients, fewer staff hours) to address short-term cash shortfalls, but this could damage the brand long term
- Short-termism could lead Lily to raise prices to address cash flow problems, even though this could lose price-sensitive customers and harm the long-run customer base

- However, Lily appears to recognise the importance of long-run thinking - she has clearly defined her values (quality, local sourcing, sustainability) and built UrbanRoots around these
- She has set prices (£3.80 vs £2.50 at chains) that reflect a long-term positioning strategy rather than short-term competition on price
- As a small, owner-managed business, Lily is not under pressure from shareholders to deliver short-term profits, unlike a listed company
- Income-elastic demand means UrbanRoots is exposed to changes in macroeconomic conditions, and Lily may need to manage short-term volatility carefully
- Some short-term decisions (e.g. an overdraft to manage cash flow) are necessary and do not necessarily reflect short-termism in the strategic sense
- Overall, short-termism is likely to affect some of Lily's operational decisions, particularly around cash management, but her overall strategic approach appears to be long-term oriented
- A balanced judgement may conclude that while short-termism is a real risk for any small business, Lily's owner-managed structure and clear strategic vision provide some protection

Levels descriptor

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0	0	A completely inaccurate response.
Level 1	1–2	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted. Limited attempt to address the question.
Level 2	3–5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented but with limited attempt to address the question. Comparisons and judgements may be attempted.
Level 3	6–9	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, clear chains of reasoning, with well-developed arguments. An awareness of the significance of competing arguments is present although this may lack balance.
Level 4	10–12	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen, logical, coherent chains of reasoning, showing full understanding of the question. Arguments are developed and evaluated. A full and balanced awareness of the validity and significance of competing arguments.

QUESTION 3 (Total: 20 marks)

Question 3 Marks: 20

AO breakdown: Knowledge / Understanding 4, Application 4, Analysis 6, Evaluation 6

Indicative content:

- Negative externalities are costs imposed on third parties not involved in the transaction, leading to a divergence between private and social costs
- Carbon emissions are a classic example, contributing to climate change and imposing global environmental costs
- Free markets fail to account for these external costs, resulting in over-production and over-consumption of carbon-intensive goods and services
- The UK ETS aims to internalise these external costs by requiring firms to purchase permits for each tonne of CO₂ emitted
- In principle, this raises the private cost of carbon emissions, encouraging firms to invest in cleaner technologies and reduce output of polluting goods
- The cap on emissions sets a hard limit, providing certainty about the maximum quantity of pollution
- Revenue raised from permit auctions can be reinvested in green technologies, reinforcing the policy's environmental benefits
- Emissions covered by the UK ETS have fallen by approximately 35% since its introduction, suggesting the scheme has had a meaningful impact
- However, the effectiveness depends critically on the price of permits - critics argue prices have often been too low to drive significant behavioural change
- During economic downturns, demand for permits falls and prices may collapse, weakening incentives to invest in cleaner technology
- Carbon leakage occurs when firms relocate production to countries with weaker environmental regulations, meaning UK emissions fall but global emissions do not
- Some firms have used accounting techniques to overstate emissions reductions, undermining the integrity of the scheme
- Small and medium-sized firms argue that compliance costs are disproportionate, favouring large multinationals with the resources to navigate regulations
- Other policy instruments (e.g. carbon taxes, regulation, subsidies for green technology) may be more effective in some contexts
- Carbon trading does not directly address consumer behaviour - additional policies are needed to tackle demand-side emissions
- A balanced judgement may conclude that emissions trading is one useful tool, but on its own it is unlikely to be sufficient to fully correct the externality - it works best as part of a wider policy mix
- Effectiveness depends on the price of permits, the tightness of the cap and the integration with international schemes to prevent carbon leakage

Levels descriptor

Level	Mark	Descriptor
0	0	A completely inaccurate response.
Level 1	1–4	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted, but fail to connect causes and consequences. Limited attempt to address the question.

Level 2	5–9	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented, but connections between causes and consequences are incomplete. Limited attempt to address the question. Comparisons, judgements or conclusions may be attempted, but are unsupported or generic.
Level 3	10–15	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, developed chains of reasoning, showing understanding of connections between causes and consequences. Arguments are well developed and partially evaluated. An awareness of the significance of competing arguments is present although this may lack balance. A conclusion may be attempted but may not show awareness of the significance of competing arguments.
Level 4	16–20	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen and fully integrated to support the argument, well developed and logical, coherent chains of reasoning, showing full understanding of the question. Arguments are fully developed and evaluated. A full awareness of the validity and significance of competing arguments, leading to nuanced and balanced comparisons, judgements or conclusions.

Demonstrating application (AO2) in responses

Where questions specifically stipulate the use of data or information provided in a stimulus, students must directly reference, interpret or analyse the information provided in the stimulus and, in addition, may select examples from their own knowledge but these must be relevant and directly connected to the context/issues set out in the stimulus.

Where questions do not specifically stipulate the use of data or information provided in a stimulus, students must select relevant examples from their own knowledge, these must be directly connected to the context/issues set out in the question, and may directly reference, interpret or analyse the information provided in any relevant stimulus.